Policy Paper

Positioning the PALM and RSE schemes in Tonga 2024

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Abstract—Tonga's participation in labor mobility schemes (PALM and RSE) has generated substantial socio-economic benefits for Tonga, including increased remittances and poverty reduction. However, the displacement of a large number of local workers overseas has led to emerging issues such as family issues, labor shortages, and complex social spillover effects that raise concerns about the long-term sustainability of these programs. This paper critically examines the trends of the PALM and RSE schemes to infer its impacts on Tonga's labor market. It is found that PALM intake for Tonga is dropping, with a shift in preference for long-term contract roles; whilst RSE is growing sustainably with insights on employer strategies to sustain the longevity and growth trend of the program. Features such as remittance dependency, insights on worker productivity, and policy responses are scrutinized to form a policy recommendation that can strengthen the structural challenges facing Tonga's future economic development.

Keywords—*Labor Mobility Sceheme, PALM, RSE, Remittances, Tonga*

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1. Introduction

Tonga has participated in labor mobility schemes since 2007, including New Zealand's Recognised Seasonal Employer (RSE) scheme, Australia's Seasonal Worker Programme (SWP) and the Pacific Labour Scheme (PLS) introduced in 2018. By 2022, the SWP and PLS programs were merged into a single program - introducing the Pacific Australia Labor Mobility (PALM) scheme. These programs have shaped Tonga's socio-economic landscape - generating 59.2 million (U.S dollars) for Tonga in 2024 and expanding the employment opportunities available to Tonga's working-age population. The target beneficiaries - often rural workers with few formal job prospects - can now access seasonal employment abroad ranging across industries such as agriculture, meat-processing, and aged-care services for short-term (up to 9 months) or long-term contracts (4 years). The key outcome is Tonga's improvement in the population's socio-economic status (mainly their livelihood) and a critical flow of remittances which; boosts FX reserves, finances Tonga's current account deficit, and supports our import needs. The results of these programmes have - therefore - become an invaluable component of Tonga's long-term prosperity.

2. Labour Mobility Scheme Concerns

The issue lies in the spillover effects from Tonga's profound a economic dependence on these schemes. As of 2023, 11.4% of Tonga's working population age (goes up to 20.4% for males) participate in the Australia and New Zealand labor mobility scheme - one of the highest amongst pacific nations. Moreover, 25% of households in Tonga declare remittances as their *main* source of income - highlighting the vitality of these programs to the livelihood of Tonga (HIES, 2021). However, beyond the immediate benefits, these programs have several complex social dimensions associated with:

Local workforce shortages - There is a growing perception that labor mobility may be contributing to staffing challenges in the public sector. In fact, the number of government vacancies has doubled from 2022-2025 due to increasing exits from government work (*see Table 1 below*).

Table 1. Government Vacancies

Object	2022	2023	2024	2025
Vacancies	496	597	759	861

Source: [11] Ministry of Finacne

Yet empirical data suggests labor mobility plays but a modest role in this labor drain. In 2024, 329 *skilled* workers left Tonga under labor schemes, of which 64 were from the public sector — providing some evidence of the labor drain, albeit not significant.(*see Fig 1*)

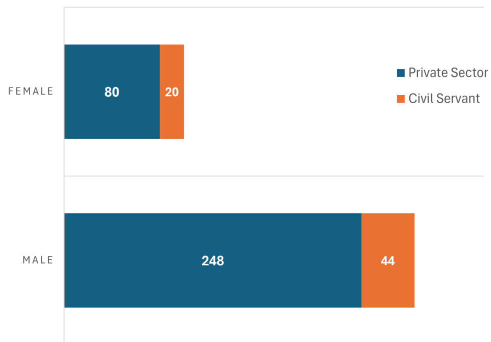

Figure 1. Skilled workers leaving on labor mobility schemes

Other systemic issues may then be driving the labor drain, such as; wage competitiveness, migration, education and training quality, and rising trends in positions for donor-funded projects are factors contributing to the outflow of domestic workers.

Mismatch of skills and educational outcomes - Nested within the labor drain, as identified by the *Skills and Employment for Tongans* (SET) project, are the gaps in education and skills development within Tonga which do not supply the skills demanded by domestic and international job markets. Limited job creation domestically compounded this issue, with majority coming mostly from the public sector. Employers reported difficulties in finding staff with appropriate skills (foundational, socio-emotional and technical) and report a lack of recognition for Tonga's national certifications.

Reverse effects - Anticipated benefits from labor schemes are improved skills transfers and better education outcomes on households under labor mobility arrangements (LMA). However, insights from the Pacific Labor Mobility Survey (PLMS) highlight Tonga's case where over 95% of LMA migrant workers ultimately occupy elementary jobs (limiting skill development) and LMA households reporting lower enrollment rates in high school by 10 percent compared to non-LMA households (limiting human capital development). Surveys report that daily expenses and church donations received greater priority over educational investment in the case of LMA households.

Effect on local families - The important adverse effect of labor schemes is it's exacerbation of family issues in the Pacific, reflected through prolonged parental absence, disrupted gender roles, increased marital instability, and lasting psychological harm to children and communities. According to the Ministry of Internal Affairs (OED) [8], the key challenge arises from coping behaviors (alcohol & kava consumption) and negative experiences (culture shock, relationship stress) which lead to work disengagement and worsen workers' mental state. The WCCC highlights 57 new family issue cases in Tonga that relate to labor mobility schemes and highlights a need for more established support services towards these families.

3. Analysis

The trend of remittances - and the local dependence on it - is an important component for labor schemes in Tonga. In the past 3 years, the breakdown of remittance components (*Compensation of overseas workers & Personal remittances*) rose from 35.3 to 62.3 and 180.6 to 211.9 respectively as shown below:

Table 2. Tonga's Remittances (millions U.S. Dollars)

Object	2022	2024
Remittances	215.9	257.6
% of GDP	45.4	42.4
Compensation of overseas workers	35.3	59.2
Personal remittances	180.6	203.9
PALM	6035	3040
RSE	987	1307

Source: [12] IMF Article IV 2024

Despite the overall fall of seasonal workers (*due to the drop in PALM workers*), remittances via overseas workers ($ 59.2m) are trending upwards driven by the persistence of long-term contracts (which are multiplicatively more valuable than short-term contracts). The bigger pool of remittances ($203.9 m) from permanent migrants is strengthened by economic recovery of destination countries which increases diaspora income, exchange rate value and improved remittance channels. The following sections will consider PALM and RSE separately and in greater detail:

4. Pacific Australia Labor Mobility (PALM)

Background

For the year 2024, PALM provided seasonal work to more than 30,000 employees from the Pacific and Timor-Leste (as of Novermber). On average, workers are remitting an average of A$1061-1300 monthly and generate almost $1 billion in industry value added per year. The Australian Government has committed $440 million across successive budgets to help expand the program - i.e to help PALM workers complete certifications, allowing for family to come with LT workers, and making seasonal deployments more attractive by reducing the burden of upfront of travel costs.

PALM's sources from 10 countries across the Pacific and Timor-Leste - including Fiji, Kiribati, Nauru, Papua New Guinea, Samoa, Solomon Island, Tuvalu, Vanuatu and **Tonga**. Since the 2023 revision of the Deed of Agreement, intake trends for each country have shifted up or down (*see fig 2 for Tonga*)- depending on the balance between short-term and long-term contracts in their respective countries.

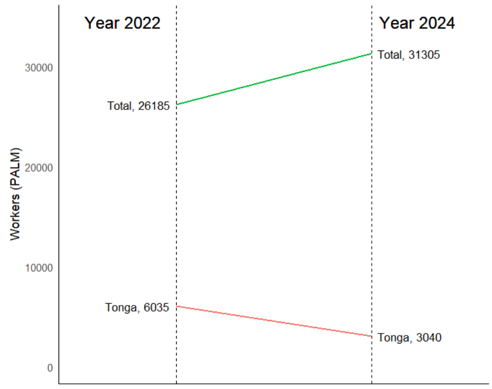

Figure 2. Tonga's PALM intake declining from 2022-2024

In Tonga's case 2024, where 67% are ST PALM roles, the total PALM workers (6035) from Tonga has halved (down to 3,040) amidst the growing size of the PALM scheme (from 26,185 to 1,305). The key reasons identified for this falling number of workers are:

1. The composition of short-term vs long-term contracts
2. Alternative seasonal workers (Backpackers)

4.1. Short-term vs Long-term contracts

It is apparent that for countries with pre-dominantly short-term seasonal roles (such as Tonga (67% ST), Samoa (54% ST), and Vanuatu (84% ST))- they appear to suffer a drop in the total intake of PALM workers due to the increased compliance costs from the revised Deed of agreement issued in June 2023. Long-term role-dominant countries like PNG and Timor-Leste (*see fig 3 below*) trend upwards as long-term roles persist.

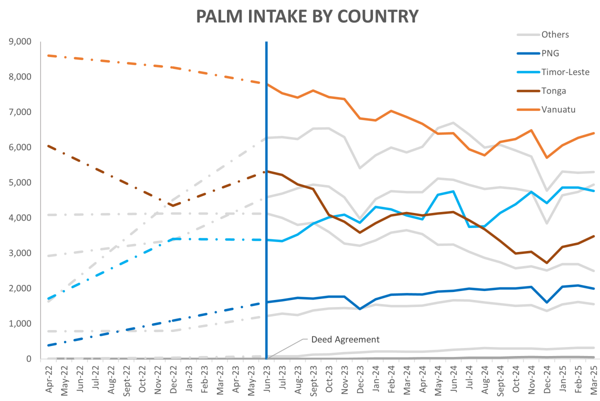

Figure 3. Post Deed of Agreement favors long-term contracts

The June 2023 Deed of Agreement mandated 30 hr weekly pay guarantees (with a minimum of $200 after deductions), improved accommodation standards and compulsory trainings - all which prioritize PALM worker engagement (who prove 20 percent more productive than working holiday makers), but, this increases compliance costs for employers leading to two key outcomes:

- **Decline in Short-term contracts** - Despite the higher productivity of seasonal workers, these ST roles became less viable due to higher fixed costs (employers had to gurantee 120 paid hours over four weeks and provide year-round accommodation even for 6month short term roles [6]) - figure 4 shows the drop in Tonga's ST roles following the Deed revision of 2023.

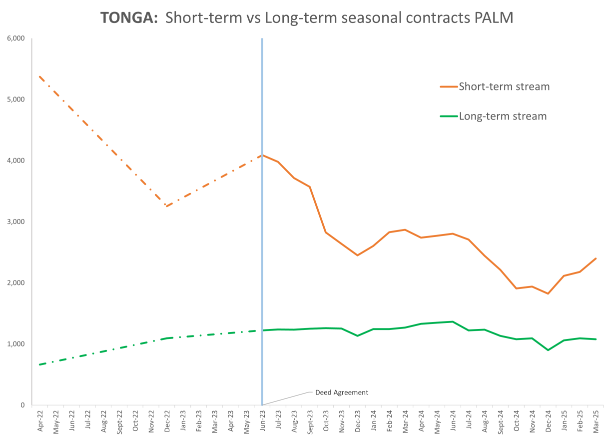

Figure 4. Post Deed of Agreement favors long-term contracts

- **Decline in employers** - Due to the higher burden of compliance, employers have either decided to withdraw from the program entirely or are pushed towards hiring backpackers. SWP employers reported an expected reduction in demand for short-term PALM workers of between 17 to 25 per cent [5],to manage the new financial risk and loss of flexibility.

Overall, the decline in PALM workers for Tonga can be pinpointed to the short-term (ST) PALM roles being axed in response to higher compliance costs to PALM employers which either shifted their hiring based towards working holiday makers or forced them to exit as an employer entirely. The persistence of LT roles then suggests for Tonga to gear their worker outflows to be more adapted to LT roles, especially in meat-processing or aged-care industries to combat the high concentration (>95 percent) of workers in elementary occupations.

4.2. Competition from destination country

Working holiday maker (WHM) visa holders, more commonly known as backpackers, are the main alternative source of labour for growers because they handle their own travel and accommodation costs - being less expensive for employers.

The increase in backpacker numbers has been substantial. From a pre-COVID average of 140,298 backpackers in Australia before December 2019, the number of WHM visa holders has now reached an average of 180,000 by September 2024. By the end of November 2024, the total number of WHM visas holders in Australia had jumped to as many as 213,394. This rising trend accompanied by the deed revision pressure on employers is a contributing factor to the falling numbers of ST PALM roles in the pacific, and for Tonga.

Implications and recommendations for Tonga's seasonal work

In final, for Tonga, where 67% of PALM workers rely on short-term roles, this trend threatens a key source of remittances and exposes the economy to two risks:
(1) reduced income stability for households dependent on seasonal work, and
(2) weaker bargaining power as employers pivot to cheaper, more flexible labor sources like working holidaymakers.

While the reforms address exploitation, Tonga must urgently diversify its labor export strategies—by upskilling workers for long-term contracts or developing domestic alternatives—to avoid being sidelined in a competitive mobility landscape. The data underscores a harsh reality: without adaptation, Tonga's seasonal work sector risks becoming collateral damage in host countries' labor market adjustments.

5. Recognized Seasonal Employer (RSE)

Background

By 2024, RSE reached a milestone of cumulating an aggregate of 50,000 workers since July 2007. The scheme has been transformative for New Zealand's economy whereby generating NZD $7 billion in annual export earnings for the horticulture and viticulture industry - ranking this industry the 4^{th} largest export industry in New Zealand. Its success leading to the Government aim to reach an industry revenue of 12 billion by 2035.

In contrast to PALM, the RSE scheme depicts a positive trend, where Tonga's seasonal workers have been rising relatively post-covid from 987 in 2022 to 1307 in 2024.

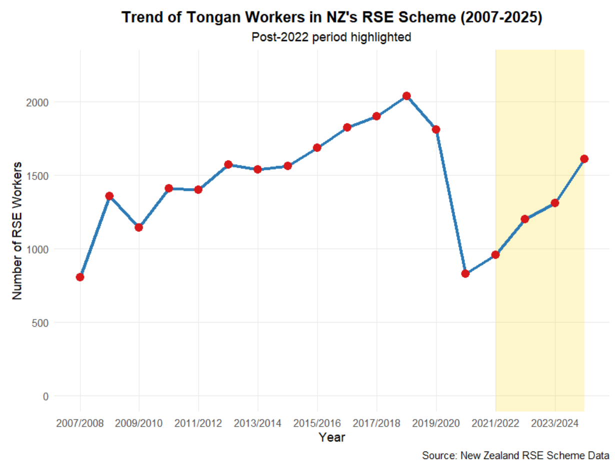

Figure 5. Post Deed of Agreement favors long-term contracts

In conjunction with Tonga's decline in ST PALM roles, the RSE scheme benefits from this. There is less direct competition from Australia's seasonal scheme at the enterprise level. Tonga's HIES (2021) indicated a number Tongans experimented with the short-term role employments for both schemes, yet no major shift has realized between the worker numbers from one scheme to another. Moreover, major source countries: Vanuatu, Samoa, and Tonga gave serious scrutiny towards aspects of participating in the NZ scheme (for reasons of exploitation and social issues arising from the scheme), yet RSE's recruitment numbers are growing steadily and meeting their output and productivity goals. The reasons for the steady growth of RSE's worker count and productivity is owed to their insightful strategies around worker engagement discussed below:

5.1. Insights from RSE worker productivity

According to Bredford (2017), RSE aimed to make *selective* use of the scheme to help families from the pacific earn income and better their livelihoods, so policies targeted aspects of workers settling in and restrictions around bringing family so they would not necessarily want to return to New Zealand year after year. Yet the interest to come back and work over succcessive seasons leads to questions around the inequity of access to the scheme as well as an overdependence on a scheme that may not always be available. The following insights are developed to inform preparing seasonal workers for the skills necessary to further their livelihoods back in the islands:

- **Unequal Access to the scheme**: The selection process is varied across PICs. Tonga seems to be performing well under this metric - employing a village-level nomination of people for RSE targetting those from relatively poor households. In contrast,

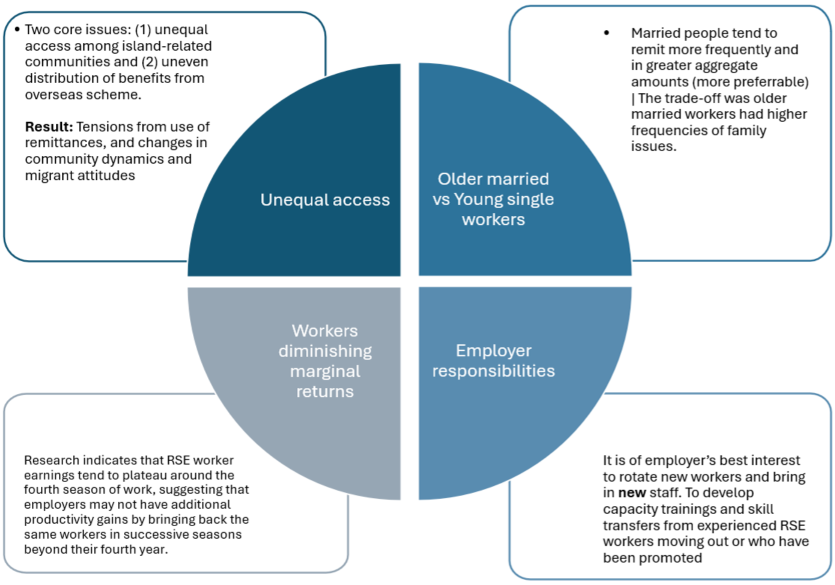

Figure 6. Summary infographic of RSE productivity and engagement insights [14].

Vanuatu tends to selects workers from wealthier than average households, whilst PNG and Fiji give the recruitment power to community leaders and government heads.

- **Older/Younger or Single/Married?** - Findings from the RSE Remittance Pilot Project show that older workers and those who are married tend to remit more frequently, and send home larger aggregate amounts, than younger workers and those who are single. Therefore, if remittances are considered the primary gain from participation in seasonal work, it makes sense for employers to recruit older, married workers. However, research on the Canadian Seasonal Agricultural Workers Program (SAWP)has found that employers' preference for older workers with children and/or other dependents exacerbates negative impacts on families, illustrating there can be trade-offs between the financial gains and social costs for migrant households. Tonga reports over 56% of the labor mobility population is under the age of 30.
- **Diminishing marginal return** - RSE workers' earnings tend to plateau around the fourth season of work, suggesting that employers may not have additional productivity gains by bringing back the same workers in successive seasons beyond their fourth year.
- **Employer responsibilities** - Noting the above, alot of the solution lies with the employers. It is of their best interest to rotate new workers and bring in new staff. Also, develop skill transfer systems that share insights from experienced RSE workers who preceded them or who have been promoted.

5.2. Implications for Tonga's seasonal work

The RSE scheme in New Zealand maintained steady growth in worker numbers despite scrutiny over exploitation and social issues by adopting strategies that balanced productivity with worker engagement. Policies were designed to help Pacific families earn income while limiting permanent settlement, encouraging seasonal return. Selection practices—such as Tonga's village-level targeting of poorer households—improved equity, while evidence showed older, married workers remitted more, boosting development outcomes. Employers also played a role by rotating new workers, promoting skill transfer, and managing diminishing returns from repeat workers after several seasons. Together, these measures kept the scheme attractive to both workers and employers, ensuring its sustained growth.

6. Policy

6.1. Existing PIC policies

Tonga manages its PALM and RSE schemes through the Tonga Labour Mobility Policy and Labour Mobility Operations Manual. This dictates recruitment processes, pre-departure activities, welfare and wellbeing requirements and returned worker support. It is of interest to note of existing policies in other PICs that could inform Tonga's policy reform summarized below:

- **Samoa's Labor Mobility Policy** - In 2023, Samoa's government approved a new labor mobility policy that targetted two key areas:
  1. Addressing Inequity - Aspects of this policy prioritized the mobilisation of unemployed people, especially those who have gone without employment for 6 months or more. Other efforts targeted the equal distributions of opportunity through these schemes by utilizing the newly established Constituency Committees that would prioritize offering the mobility programs to rural villages.
  2. Mitigating Exploitation - The elements of this theme targetted the safety measures for workers who were deployed overseas. For one, all approved employers wishing to recruit from Samoa had to first inform the Government (MCIL-LEEP) of its intentions. Higher transparency was expected from private recruiters to monitor the recruitment process and avoid unethical practises where workers bear the up-front costs or recruitment frees.
- **Vanuatu's Labor Mobility Policy** - The Vanuatu Government launched its Labour Mobility Policy for 2024-2027 in response to the evolving challenges coming from seasonal work programmes (particularly, family disruptions from long abscences). This targetted five key areas:
  1. Legislative and Institutional Reform - improving regulations to better manage labor mobility and provide stronger protection for workers.
  2. Data collection and systems coordination - Strengthen accountability and data collection systems for better informed decision making.
  3. Labor mobility support management and reintegration strategies - Promoting decent work, skills transfer and rein-

tegration returning workers back into the source country job market.
4. Child-centred Family and Community Social Protection - Support the welfare of children and families affected by labour mobility.
5. Worker Welfare and Benefits - Advocating for better working conditions and contract terms for Vanuatu workers.

The policy responses from Samoa and Vanuatu are strongly relevant to Tonga's position given that the issues they are addressing are the same issues Tonga is facing around worker exploitation, family dynamics, data collection, and reintegration processes for returning workers.

6.2. Tonga's policy recommendation

Policy Recommendation

From the above analysis of PALM, RSE, and the existing policies from Samoa and Vanuatu, the following gaps are identified with Tonga's labor mobility scheme:

- The need to upskill workers in Tonga for more Long-Term roles (learning from PALMs deed revision)
- Reintegration strategies that help returning workers transition back into the island economy (Learning from NZ insights on worker rotation)
- Long term educational planning for improved alignment of skills (Learning from SET project)
- Higher transparency and better coordination between Tonga government and seasonal employers
- Improve data collection systems for better informed decision making processes (Learning from vanuatu's LMS)
- Support for families affected by labor mobility parental abscences (Learning from WCCC)

To strengthen Tonga's labor mobility scheme, several policy gaps must be addressed in light of experiences from PALM, RSE, and other Pacific countries. First, **there is a clear need to target skill development of Tongan workers for more long-term roles**, where in the case of PALM, short-term contracts have become less viable under recent compliance revisions, and greater training would allow Tongans to remain competitive in higher-value positions. The SET project (P161541) financed (US$1.8 million) to cater for pre-departure trainings, selection criterias to target low-skilled and disadvantaged households, and, finally, supply informative sessions on pathways to long-term/higher skilled migration. This could be complemented by industry-specific trainings such as meat-processing or aged-care facility trainings.

At the same time, from RSE, insights on productivity and reintegration strategies are critical to ensure that new and returning workers are engaged and can transition their earnings and acquired skills back into the domestic economy. As cited by RSE, **ensuring frequent worker rotations** brings in new workers and **establishing handover training sessions** from previous seasonal workers will prove helpful.

One of the most pressing issues are the policies surrounding family issues. The Ministry of Internal Affairs (2023) provides a comprehensive recommendation to: **dedicate a standalone Tonga family support program** who offer support for initial adjustment, transnational parenting during labour mobility, financial planning, mental health and reconnecting. It is also recommended for MIA to initiate **frequent welfare monitoring visits** to listen and resolve issues of workers abroad.

More long-term solutions require a tailored-change to Tonga's education system that equips graduates with market-ready skills. Efforts are already underway to improved networking with global institutions and revisions to the national curriculum to ensure wider recognition of Tonga's qualifications. The long-term goal is to cultivate a workforce with the foundational, socio-emotional, and technical skills needed to meet both domestic and global labor demands, thereby easing reliance on migration and strengthening Tonga's economic resilience

Finally, equally important is the improvement of data collection systems, which would support more evidence-based policymaking and help identify emerging challenges in worker welfare and employer practices.

7. Annex

A timeline infographic is created below that traces the chronological development of RSE and PALM for Tonga. Since its inception in 2007, RSE has maintained its program, where as PALM amalgamated and absorbed SWP and PLS in 2022.

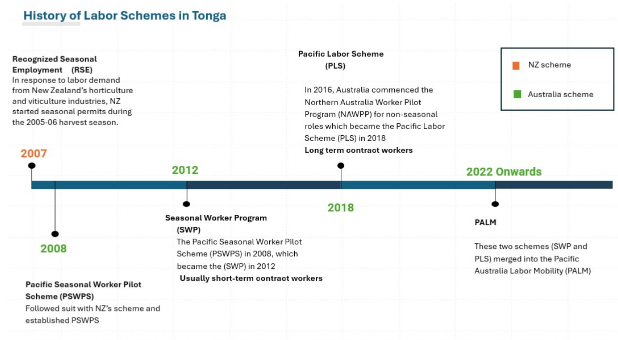

Figure 7. History of Labor Schemes in Tonga

The table below documents the worker intake for RSE and PALM respectively. PALM data is sourced straight from their website and can be found at here. On the other hand, RSE data was found from various reports and RSE statistics of arrivals where the data is indexed for Tonga.

Table 3. RSE and PALM participants by financial year

Financial year	RSE	PALM
2012/13	1573	1199
2013/14	1600	1497
2014/15	1563	2179
2015/16	1687	2624
2016/17	1899	2690
2017/18	2790	2790
2018/19	3738	3738
2019/20	2025	2025
2020/21	826	746
2021/22	957	6035
2022/23	1202	5320
2023/24	1307	3040
2024/25	1608	3480

Source: New Zealand Immigration & PALM

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